

Team 3 · The DiversifiHERS

Building a Resilient \$500 Portfolio

A Long-Term, Diversified Portfolio for a Still-Elevated Rate Environment

20 / 60 / 20

ALLOCATION

~2.2%

TARGET YIELD

3 ETFs

CORE HOLDINGS

Data as of April 21, 2026

THE PORTFOLIO

20%
SGOV

Short-Term Treasuries

60%
VOO

S&P 500 Index

20%
SCHD

Dividend Quality

The Mandate

Before designing the portfolio, we defined the problem

WHAT WILL BE COVERED

1. Problem Analysis

What's being asked?

2. Analytics

Data we used to back our choices

3. Evaluation of Alternatives

Considering and comparing strategies

4. Presentation

Clarifying our story

5. Defense

Why we made our decisions

→ *Our portfolio optimizes for these five things*

OUR ASSUMED INVESTOR

STRATEGY

Long-term · 4+ years · extends post-graduation

EXPERIENCE

Beginner · first portfolio

RISK TOLERANCE

Moderate-to-high · accepts volatility for long-term growth

ACCOUNT

Taxable brokerage

OUR PORTFOLIO RULES

- **\$500 cap**
- Fully liquid (no lockups)
- No margin, derivatives, or leverage
- Publicly-traded ETFs or stocks only

Investment Thesis

Preserve capital, earn reasonable income, and still participate in long-term growth

*We recommend a **long-term** strategy. With the Fed holding at **3.50%-3.75%** and signaling only one cut in 2026, short-term yields remain competitive. A **low-volatility, diversified** approach is the most defensible choice for a beginner with only \$500.*

1

STABILITY

20% in short-term Treasuries provides a behavioral cushion, enough stability to stay invested through drawdowns, without dragging returns

2

GROWTH

60% in the broad S&P 500 is the core long-term compounding engine, at 0.03% cost

3

INCOME

20% in quality dividend stocks adds a ~3.4% yield tilt without the concentration of a sector bet

The Macro Backdrop

Rates are still elevated - The Fed has held for two meetings in a row

FED FUNDS TARGET

3.50-3.75%

Held Jan & Mar 2026 meetings

3 - MONTH T-BILL

3.70%

Par yield, 4/17/2026

10 - YEAR TREASURY

4.26%

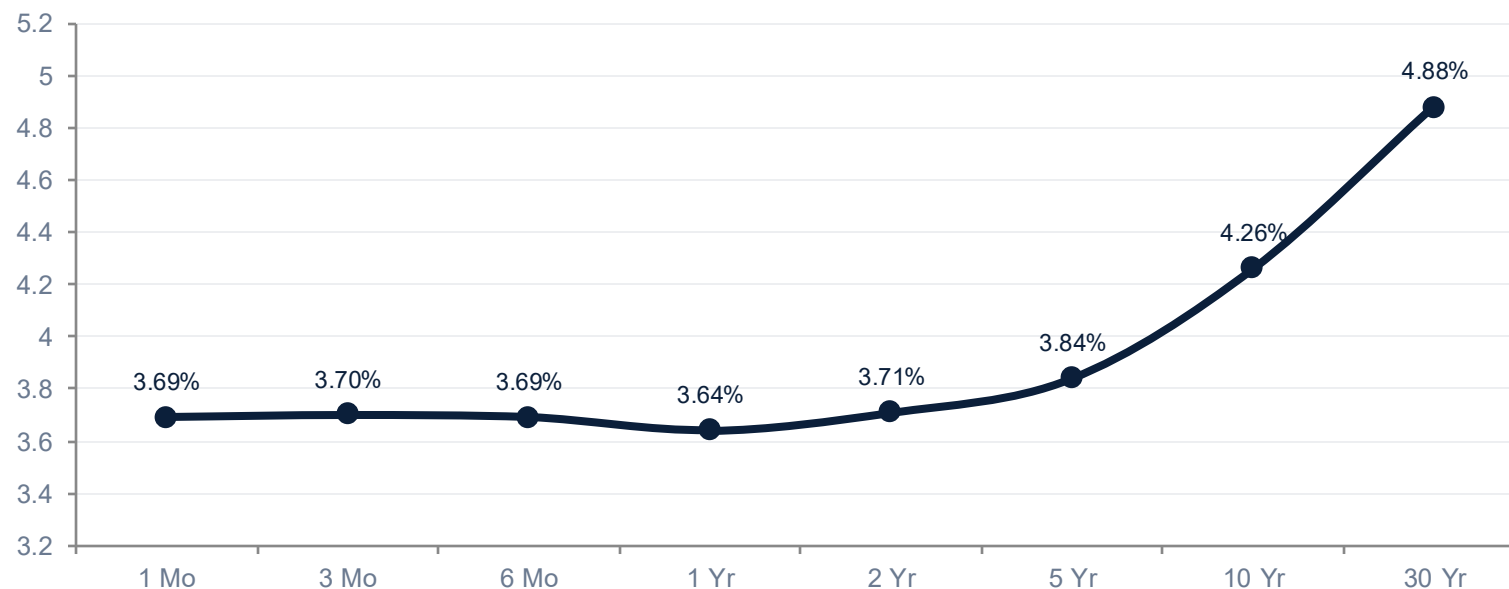
Par yield, 4/17/2026

CORE PCE FORECAST

2.7%

Fed projection, 2026

U.S. TREASURY YIELD CURVE • APRIL 17, 2026



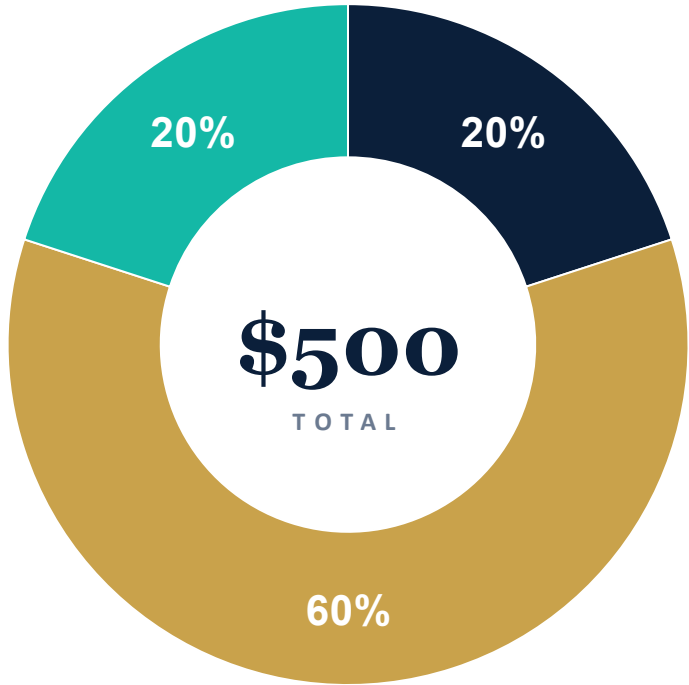
WHY THIS MATTERS FOR A \$500 PORTFOLIO

The yield curve is flat-to-inverted at the short end. Short-term T-bills pay ~3.7% with near-zero duration risk, almost as much yield as intermediate bonds, but without the price volatility. That makes short Treasuries the optimal "safe" sleeve right now.

04

Our Allocation

Three ETFs - One clear purpose for each bucket



- Short-Term Treasuries (SGOV) ■ Broad U.S. Equity (VOO)
- Dividend Quality (SCHD)

POSITION DETAILS

BUCKET	ETF	\$ AMOUNT	YIELD	EXPENSE
● Defensive Income	SGOV	\$100	~3.99%	0.09%
● Core Market Growth	VOO	\$300	1.15%	0.03%
● Dividend / Quality	SCHD	\$100	~3.43%	0.06%

Estimated Year-1 Income: ~\$10.87 (2.17% blended yield)

$$\$100 \times 3.99\% + \$300 \times 1.15\% + \$100 \times 3.43\%$$

05

Bucket 1 - Defensive Income (20% · \$100)

SGOV: iShares 0-3 Month Treasury Bond ETF

WHY SGOV

Short T-bills pay nearly as much as the 10-year Treasury (**3.70% vs 4.26%**) with virtually zero price risk. We use SGOV as a behavioral cushion — enough cash that a market drawdown doesn't feel like everything is falling, which keeps a beginner invested through their first cycle.

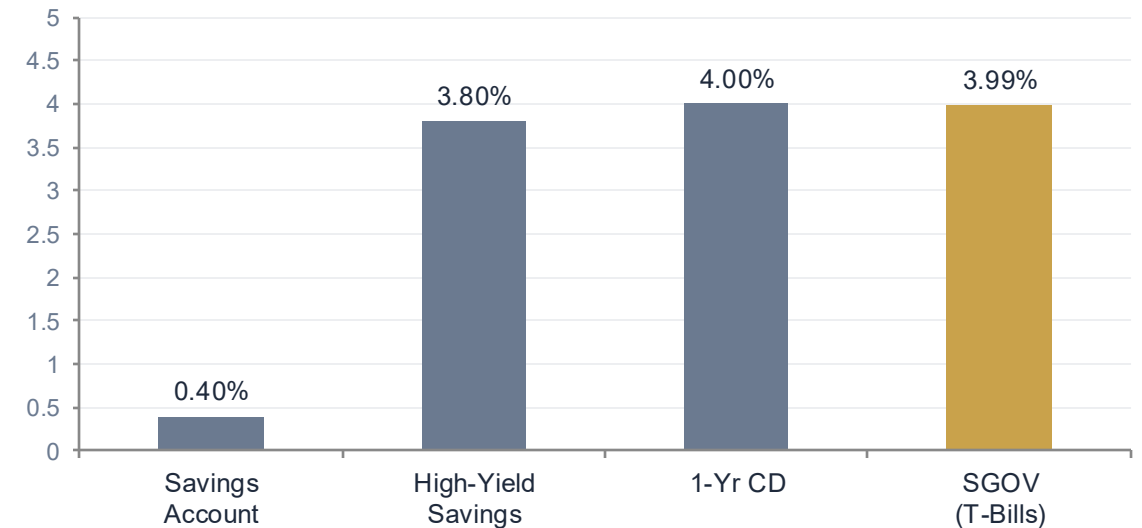
Yield: ~3.99% distribution rate · **Expense:** 0.09% (cheapest in class)

52-Wk Range: \$100.27 - \$100.74 (*extremely stable*)

Liquidity: \$85B fund AUM, 0.03% bid-ask spread

Tax note: Interest is exempt from state income tax

YIELD vs. PRICE VOLATILITY · "SAFE" SLEEVE OPTIONS



THE PITCH-LINE

"With the Fed holding at 3.5-3.75%, we're getting paid to wait. SGOV captures that yield with almost no price risk - it's the cash-equivalent sleeve that actually earns something."

WHY NOT A CD?

Most broker CDs need \$500-\$2,500 minimums. On a \$500 portfolio, that would consume 100% of our capital in one instrument. SGOV gives us the same yield, better liquidity, and lets us diversify.

Bucket 2 - Core Market Growth (60% • \$300)

VOO: Vanguard S&P 500 ETF - the cheapest way to own America's 500 biggest companies

0.03%

EXPENSE RATIO

Only \$0.09/yr on \$300

+36.5%

1-YEAR TOTAL RETURN

Trailing 12mo as of Apr 2026

~10%

100-YEAR AVG RETURN

Nominal with dividends reinvested

500

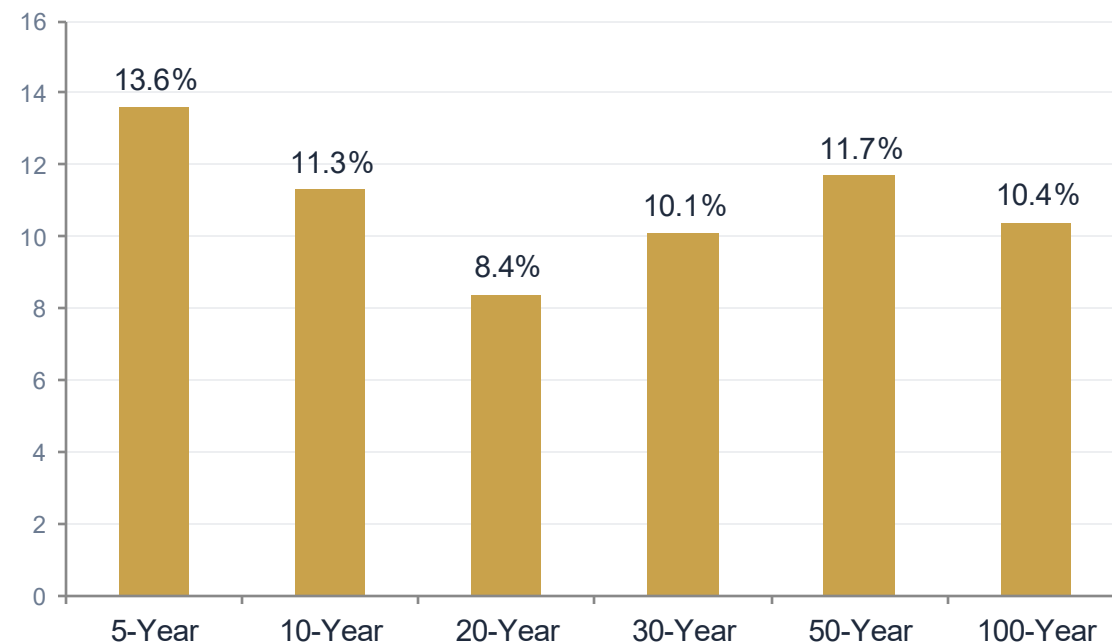
HOLDINGS

Top: AAPL, MSFT, NVDA, AMZN

BOTTOM LINE

At 0.03% expenses and 36.5% on the trailing year, VOO is the easiest "core" holding. If the S&P 500 has a decade anything like its historical average, \$300 in VOO doubles to ~\$600 in about 7 years.

S&P 500 ANNUALIZED RETURN BY HORIZON



Source: Macrotrends, Slickcharts, SoFi S&P 500 Historical Returns (thru Feb 2026).

Every horizon 10 years or longer has returned 8-12% annualized
That's the math behind using the S&P 500 as a core

Bucket 3 - Dividend Quality (20% · \$100)

SCHD: Schwab U.S. Dividend Equity ETF - income + quality tilt, without sector concentration

WHAT'S IN SCHD

The ETF screens for 100 U.S. companies that meet all four criteria:

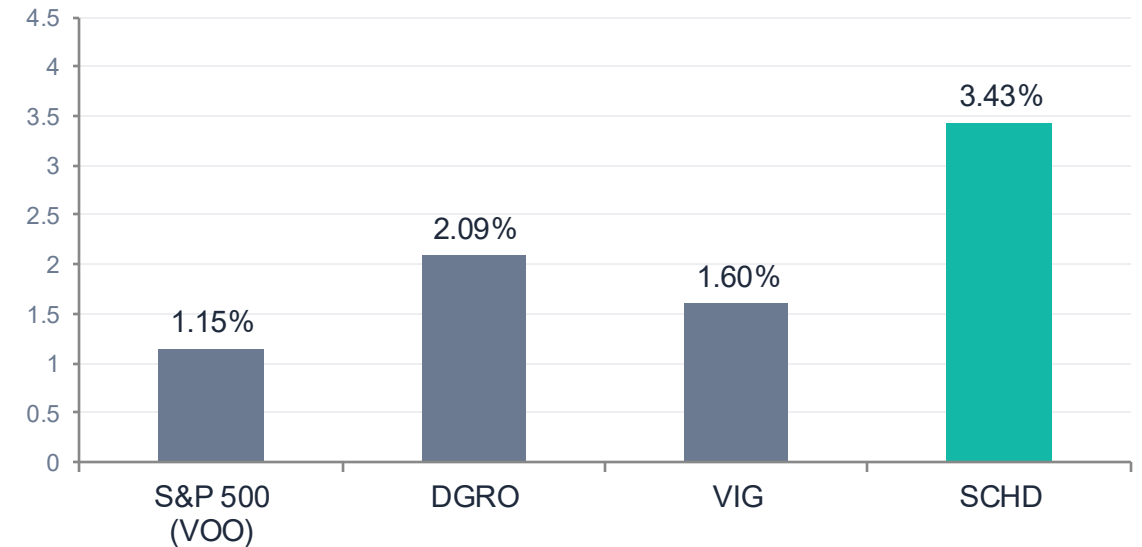
- 10+ consecutive years of dividend payments
- Strong cash flow to total debt ratio
- Above-peer return on equity (ROE)
- Higher dividend yield AND 5-year dividend growth

QUALITY AT A DISCOUNT

SCHD's forward P/E of **~15.4** sits meaningfully below the S&P 500's **~22.4**. You're paying a lower valuation for companies with real dividend track records - a natural complement to VOO's growth tilt

⚠ IMPORTANT: SCHD is still equity. It will move with the stock market. We do not treat it as safe alongside Treasuries.

DIVIDEND YIELD COMPARISON · SCHD vs. PEERS



AT A \$100 ALLOCATION, SCHD ADDS

~\$3.43

in annual dividends, and historically has grown that payout ~3-4% per year

Why These Three Together

Different roles - Uncorrelated risks - Roughly 75% the volatility of 100% VOO

HARD NUMBERS

	SGOV	VOO	SCHD	BLEND
Current Yield	3.99%	1.15%	3.43%	2.17%
Annualized Volatility	~0.5%	~16%	~15%	~12%*
2022 Bear-Year Return	+2%	-18%	-3%	-11%
Correlation to VOO	0.00	1.00	0.85	—
Expense Ratio	0.09%	0.03%	0.06%	0.05%

Volatility is annualized trailing 3-yr standard deviation. 2022 = calendar-year total return. Correlations from Morningstar (trailing 3-yr).
*Blend volatility is the correlation-adjusted portfolio standard deviation using VOO/SCHD correlation of 0.85 and SGOV correlation of 0.00 to equities.

EACH BUCKET'S JOB

SGOV

SHOCK ABSORBER

Holds value when stocks fall - Zero correlation to equities

VOO

GROWTH ENGINE

500 companies - Cheapest core ETF (0.03% fee)

SCHD

QUALITY + INCOME

Value tilt. P/E 15.4 vs S&P 22.4 - Cushions VOO's drawdowns

THE PUNCHLINE: Our blended mix runs at roughly **75% of VOO's volatility** while capturing most of its upside. In 2022, we would have lost ~11% while the S&P lost 18%.

Why 20/60/20 Over Other Allocations

We modeled four portfolio constructions - Ours isn't the highest return - it's the best-engineered

STRATEGY	EQUITY %	YIELD	EXPENSE	1-YR RETURN	2022 (BEAR)	OUR TAKE
OUR 20/60/20 <i>SGOV · VOO · SCHD</i>	80%	2.17%	0.05%	+25%	-11%	Captures most of VOO's upside with meaningful downside cushion · Best risk-adjusted for long horizon
100% VOO <i>All-equity benchmark</i>	100%	1.15%	0.03%	+37%	-18%	Highest return - but one bad year erases two
40/40/20 (Previous draft) <i>SGOV · VOO · SCHD</i>	60%	2.74%	0.06%	+19%	-7%	Safer, but cash drag too heavy for 10+ year horizon
Target-Date 2065 <i>VTTSX one-ticker</i>	88%	1.6%	0.08%	+30%	-17%	Too aggressive for a 1-year outcome · Higher fee

WHY OURS WINS: 100% VOO beats us in a bull year but falls harder in a bear · Our old 40/40/20 was too conservative for a 10+ year horizon · Target-date funds cost more for less control. **20/60/20 is the optimal trade-off of return, downside protection, and defensibility for a long-term beginner.**

1-Yr returns use trailing 12-mo as of 4/17/2026. 2022 figures are calendar-year total returns from fund documentation.

Alternatives We Considered

Every rejected idea strengthens the defense of what we kept

XLE (Energy ETF)

REJECTED

High-beta single-sector exposure

Energy ETFs swung double-digits on Iran headlines, up sharply during the conflict, then sharply reversing on ceasefire news
A beginner \$500 portfolio can't absorb that kind of single-sector swing

Individual Stocks (e.g., MSFT)

REJECTED

1 company ≠ diversification

Even the best mega-cap has ~25–35% annual volatility - Harder to defend

REITs (e.g., VNQ)

REJECTED

Equity risk, not bond risk

Often grouped with "safe" assets, but REITs are rate-sensitive equities that fell ~25% in 2022. They don't belong alongside Treasuries

Brokered CDs

NOT FEASIBLE

\$500–\$2,500 minimum

Would consume 100% of capital in one instrument and sacrifice all diversification. SGOV achieves the same yield with full flexibility

What \$500 Could Become

Three simple scenarios using historical averages and current yields

1-YEAR SCENARIOS • ESTIMATED VALUE

BEAR

Equity correction: VOO -15%, SCHD -12%, Treasuries flat

VOO \$255 • SCHD \$88 • SGOV \$104

\$447

-10.6%

BASE

Historical averages apply

VOO \$330 • SCHD \$108 • SGOV \$104

\$542

+8.4%

BULL

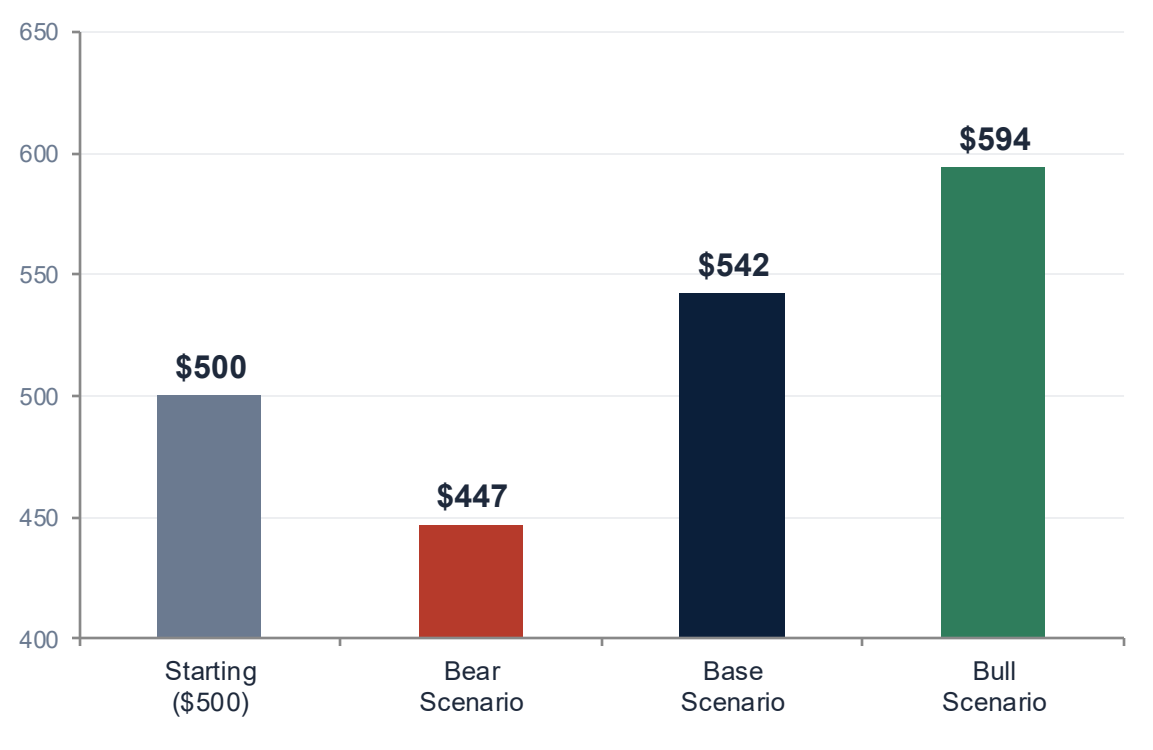
Strong equity rally continues

VOO \$375 • SCHD \$115 • SGOV \$104

\$594

+18.8%

PORTFOLIO VALUE AFTER 1 YEAR



KEY TAKEAWAY: Even in a 15% market drop, the 20% Treasury cushion limits our loss to ~11% while preserving 80% equity exposure for long-term compounding

1-yr historical ranges: bear = 2022-style drawdown; base = 10% equity / 4% treasury; bull = continued 2025-26 strength. Actual results will differ.

Risk Management

The portfolio is designed so no single thing can blow us up

RISK

MARKET CRASH

DEFENDED BY

20% in SGOV

Treasuries hold value in equity drawdowns. In a 15% S&P decline, portfolio loses ~11%, cushioned but not over-protected

RISK

SINGLE COMPANY FAILURE

DEFENDED BY

VOO = 500 holdings

No single stock >7% of the portfolio. Default of any one name is barely noticeable

RISK

RISING RATES

DEFENDED BY

0-3 month duration

SGOV reprices every ~30 days. Duration risk is effectively zero our "bond" bucket doesn't fall when rates rise

RISK

SECTOR SHOCK

DEFENDED BY

No sector >25%

We explicitly rejected XLE and REITs. SCHD also caps any sector at 25% by design

RISK

INFLATION

DEFENDED BY

Equity real returns

Over history, stocks have beaten inflation by ~7% annually VOO + SCHD provide that real-return engine

RISK

LIQUIDITY NEED

DEFENDED BY

All ETFs, all US-listed

Every holding can be sold during market hours at tight spreads Zero lock-up, zero penalty

OUR THESIS IN ONE SENTENCE

At a 3.5-3.75% rate, a **20/60/20** mix of short Treasuries, broad equity, and quality dividends delivers **real yield, growth**, and a **defensible story**.

STABILITY

GROWTH

INCOME

\$100 / \$300 / \$100

Thank you · Questions?

KEY SOURCES

- U.S. Treasury Daily Yield Curve
- Fed FOMC Statement 3/18/2026
- Yahoo Finance (VOO, SCHD, SGOV)
- Vanguard, Schwab, iShares fact sheets
- Macrotrends S&P 500 Historical Returns
- Trading Economics (macro forecasts)

DATA THRU
APR 17-19, 2026